Alphabet Inc.

What Does the 10-K Say; Latest Thoughts Post Earnings; Remains Our Best Idea; Overweight, $395 PT

Overweight

GOOG, GOOG US
Price (06 Feb 26):$323.10
Price Target (Dec-26):$395.00

Overweight

GOOGL, GOOGL US
Price (06 Feb 26):$322.86
Price Target (Dec-26):$395.00

Internet - Large Cap / Mid & Small Cap

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Alphabet (GOOGL) shares are down ~3% since reporting 4Q earnings, underperforming the SPX +1%. We believe the print was defined by both robust operating momentum—Search acceleration to +17%, meaningful Cloud ramp to +48%, backlog surging 55% Q/Q to $240B, just $4B shy of AWS's $244B—and the sheer magnitude of 2026 capex at $175B-$185B, ~2x the $91B spent in 2025. We believe the doubling of capex comes from a position of strength (Gemini now at 750M MAUs, higher engagement/user, and meaningful multi-year cloud backlog), but there is significant focus on depreciation, which will accelerate in 2026 (JPMe +73% Y/Y), & FCF, which we model to fall to $29B (-61% Y/Y). However, we believe the valuation framework for many remains anchored around 25x-30x on $14+ in 2027 GAAP EPS. Google, Meta, and Amazon are all meaningfully pressuring their cash generation. However, we believe GOOGL has a broad set of monetization levers, including Search, Cloud, and a growing AI-driven ad opportunity, with the massive growth in backlog providing a tangible bridge to future revenue and margin expansion. Additionally, we believe GOOGL is best positioned to support the large jump in capex as GOOGL currently has $80B in net cash, ahead of AMZN's $57B & META's & $23B, and should generate the most cash in 2026. Google's full stack AI differentiation, as highlighted in the 10-K, further reinforces our conviction in the company's ability to drive multi-year value from these investments. **We reiterate our Overweight rating and our December 2027 PT of $395 is based on ~29x our 2027E GAAP EPS of $13.51.** GOOGL remains our top pick coming out of Internet Mag 7 earnings. Please see key takeaways from GOOG/L's recently filed 10-K below. We're also making minor model updates based on the filing, including increasing our 2027E capex from $209B to $226B.

- ***#1: Paid Clicks +6% Y/Y in 2025, accelerating from +5% in 2024 (page 34)***
  - **Our Take:** Paid clicks growth accelerated meaningfully from +2% in 1Q to an estimated +10% in 4Q (JPMe), based on the full year growth provided. The consistent acceleration throughout 2025 supports Google's view that AI is expansionary to the search business across both query volume and monetization as AI-driven enhancements result in higher engagement and ad coverage.

See page 15 for analyst certification and important disclosures.
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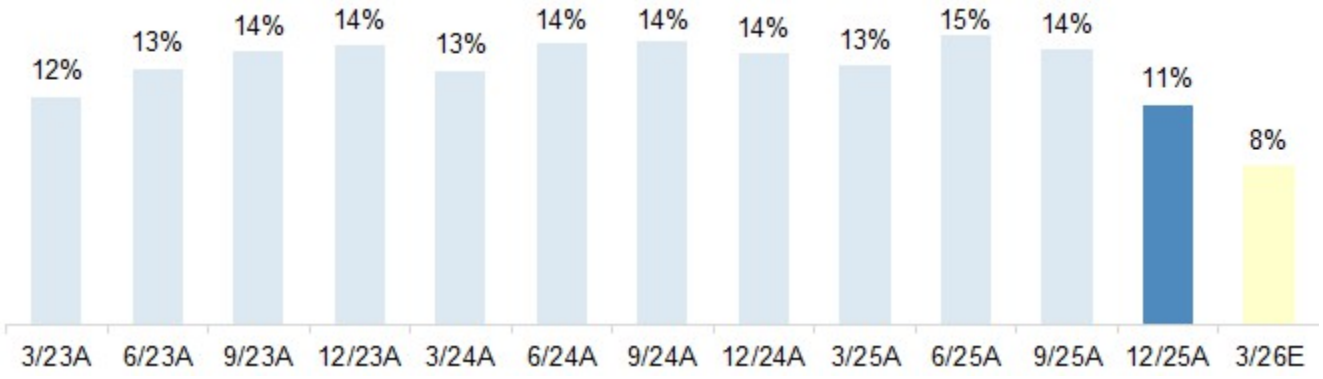
Figure 1: Google Search & Other Revenue, Paid Clicks, & CPC Growth

$ in millions	2023A	3/24A	6/24A	9/24A	12/24A	2024A	3/25A	6/25A	9/25A	12/25A	2025A
Google Search & other											
Revenue	175,033	46,156	48,509	49,385	54,034	198,084	50,702	54,190	56,567	63,073	224,532
Y/Y growth	8%	14%	14%	12%	13%	13%	10%	12%	15%	17%	13%
Seasonality		23%	24%	25%	27%		23%	24%	25%	28%	
Paid clicks Change (% Y/Y)	*7%*	*5%*	*6%*	*4%*	*5%*	*5%*	*2%*	*4%*	*7%*	*10%*	*6%*
QTD Y/Y growth		*5%*	*5%*	*5%*	*5%*		*2%*	*3%*	*4%*	*6%*	
Cost-per-click Change (% Y/Y)	*1%*	*8%*	*7%*	*8%*	*5%*	*7%*	*7%*	*8%*	*7%*	*6%*	*7%*
QTD Y/Y growth		*8%*	*8%*	*8%*	*7%*		*7%*	*8%*	*7%*	*7%*	

Source: Company reports, J.P. Morgan estimates

- ***#2: Revenue backlog grew 161% Y/Y & 54% Q/Q to $243B (page 60)***
  - **Our Take:** Google Cloud revenue as a % of prior period ending backlog broke below the historical 12-15% range in 4Q25, falling to 11%. We model a further decline to 8% in 1Q26E, which we believe reflects both the step-function increase in reported backlog — $243B in 4Q25 (+161% Y/Y & 54% Q/Q) and a lengthening of average contract duration as large enterprise deals ramp. While this dynamic may pressure near-term revenue conversion rates, we view the surge in backlog as a strong forward indicator of multi-year demand and strategic customer wins. We believe GOOGL's Cloud business is entering a new phase of scale and durability, even as quarterly revenue recognition relative to backlog becomes less linear.

Figure 2: Google Cloud Revenue as % of Prior Period Ending Backlog, 1Q23A-1Q26E



Source: Company Reports, J.P. Morgan Estimates

Figure 3: Google Revenue Backlog Disclosure, 2023-2025

Performance obligations ("revenue backlog"), primarily related to Google Cloud

2025 10K : $242.8B ...*expect to recognize just over **50%** of the revenue backlog as revenues over the **next 24 months***

25Q3 10Q : $157.7B ...*expect to recognize just over **55%** of the revenue backlog as revenues over the **next 24 months***

25Q2 10Q : $108.2B ...*expect to recognize ~**55%** of the revenue backlog as revenues over the **next 24 months***

25Q1 10Q : $92.4B ...*expect to recognize **~55%** of the revenue backlog as revenues over the **next 24 months***

2024 10K : $93.2B ...*expect to recognize **~50%** of the revenue backlog as revenues over the **next 24 months***

2023 10K : $74.1B ...*expect to recognize **~50%** of the revenue backlog as revenues over the **next 24 months***

Source: Company Reports

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- ***#3: "AI-optimized infrastructure — a key differentiator enabling us to power our own products, such as Search and YouTube, and support the services we provide to our Google Cloud customers." (page 4)***
  - **Our Take:** We believe the 2025 10-K's expanded focus on Google's "full-stack AI differentiation"—with explicit emphasis on proprietary AI-optimized infrastructure (custom TPUs, next-gen data centers, and Gemini 3 models)—reinforces our conviction that GOOGL is uniquely positioned to drive sustained product innovation and win large enterprise deals at scale. **The rapid pace of AI product launches and large Cloud customer wins — OpenAI, Meta, Anthropic, & Apple — supports our thesis that Google's end-to-end AI stack is emerging as a structural moat, driving multi-year share gains and monetization expansion as AI adoption accelerates.**
- ***#4: "Our ability to scale our technical infrastructure is increasingly constrained by the availability of power, water, and land.*** *For example, energy supply is constrained globally due to the significant increase in demand for and limited availability of energy to power AI compute. Securing this capacity involves entering into complex, long-lead-time arrangements. Additionally, manufacturing and supply of servers and network equipment for our technical infrastructure, particularly for specialized AI chips, is limited to a small number of qualified suppliers. Extended or unforeseen disruptions at these suppliers could impact our ability to meet customer demand. Failure to secure sufficient capacity in a timely manner would limit our ability to train models and serve Cloud customers."* ***(page 12)***
  - **Our Take:** We note that supply constraints are a recurring theme throughout the 2025 10-K, with Google explicitly flagging that its biggest challenge is compute capacity — a dynamic that has the potential to curb both **Google Cloud revenue growth (JPMe +56% Y/Y in '26E & +40% in '27E)** and the pace of **capex deployment (JPMe +98% Y/Y to $181B in '26E & +25% Y/Y to $226B in '27E)** in the near term. Importantly, we believe any easing of these constraints (whether through improved supply chain, accelerated data center buildout, or greater access to GPUs/TPUs) could drive upside to both Cloud revenue and capex, as latent demand is unlocked and large backlog converts more rapidly. To offset bigger investments and increased depreciation, Google emphasized that it has a mindset for ongoing efficiencies.
- ***#5: Technical infrastructure assets in service grew 44% Y/Y to $204B, w/~60% comprised of servers & network equipment (page 72)***
  - **Our Take:** We note Property & Equipment disclosure was restated in the 2025 10K, w/some dollar amounts moving from corporate & other assets to Technical Infrastructure & Office Space.

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Figure 4: GOOG/L Property and Equipment, Net - 2024 & 2025

			Y/Y change	
Property & Equipment ($M)	**2024**	**2025**	**%**	**$**
Technical infrastructure	141,852	203,679	44%	61,827
Office space	45,403	48,348	6%	2,945
Corporate and other assets	12,574	14,463	15%	1,889
Property and equipment, in service	**199,829**	**266,490**	**33%**	**66,661**
Less: accumulated depreciation	(79,390)	(98,485)	24%	(19,095)
Add: assets not yet in service	50,597	78,592	55%	27,995
Property and equipment, net	**171,036**	**246,597**	**44%**	**75,561**

Technical infrastructure includes DC land, buildings & leasehold improvements, and servers & network equipment.
Office space includes office land, buildings and leasehold improvements.

Depreciation schedule
DC & office buildings: 7 to 40 years
Servers & network equipment: generally over 6 years
Corporate & other assets 2 to 25 years
Land is not depreciated

Assets not yet in service are those that are not ready for intended use, including data center buildings and servers in the process of construction or assembly.

Source: Company Reports

- ***#6: Other Bets revenue generated primarily from the sale of autonomous transportation services & internet services (page 31)***
  - **Our Take:** Waymo is now the primary driver of Other Bets revenue on a full-year basis, marking a clear inflection in Other Bets' revenue mix. Importantly, we expect Other Bets revenue to begin scaling as Waymo continues to expand into new cities throughout 2026 — see our February 2026 AV Roadmap report for details. Our Waymo model projects Waymo's vehicle count to double to ~5,725 by year-end 2026, with rides ramping to 35M+, up from 15M+ in '25, & gross bookings exceeding $800M. We model Other Bets revenue +32% Y/Y to $2B in '26 .

Figure 5: Drivers of Other Bets Revenue, 2023-2025

	Revenues from Other Bets are generated primarily from the sale of…		
2025 10K	*1) **autonomous transportation services***	*2) internet services*	
25Q3 10Q	*1) **autonomous transportation services***	*2) healthcare-related services*	*3) internet services*
25Q2 10Q	*1) **autonomous transportation services***	*2) healthcare-related services*	*3) internet services*
25Q1 10Q	*1) healthcare-related services*	*2) internet services*	
2024 10K	*1) healthcare-related services*	*2) internet services*	
2023 10K	*1) healthcare-related services*	*2) internet services*	

Source: Company Reports, J.P. Morgan estimates

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- ***#7: Recognized ~$32B of unrealized gains in non-marketable investment in January (page 88)***
  - **Our Take:** We believe the $32B unrealized gain could result in a ~$2.00 increase to 1Q26E GAAP EPS—well above prior expectations. Additionally, we note that other valuation triggers across Google's investment portfolio could drive incremental unrealized gains in 1Q.
- ***#8: Direct Response drove growth in YouTube Ads Revenue, moving ahead of Brand Advertising (page 34)***

Figure 6: Drivers of YouTube Ads Revenue

	YouTube ads revenues increased…The growth was driven by our…
2025 10K	***direct response advertising products*** *followed by our brand advertising products*
25Q3 10Q	***direct response advertising products*** *followed by our brand advertising products*
25Q2 10Q	***direct response advertising products*** *followed by our brand advertising products*
25Q1 10Q	***direct response advertising products*** *followed by our brand advertising products*
2024 10K	***brand advertising products*** *followed by our direct response advertising products*
2023 10K	***brand and direct response*** *advertising products*

Source: Company Reports, J.P. Morgan estimates

Note: OpenAI & Anthropic are covered by JP Morgan private research analyst, Brenda Duverce

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Adjusting Estimates

We are adjusting our estimates, as shown below.

Figure 7: Adjusting J.P. Morgan Estimates

Alphabet, Inc ($ in millions, except where noted)	1Q26 JPMe Old	1Q26 JPMe New	2Q26 JPMe Old	2Q26 JPMe New	3Q26 JPMe Old	3Q26 JPMe New	4Q26 JPMe Old	4Q26 JPMe New	2026 JPMe Old	2026 JPMe New	2027 JPMe Old	2027 JPMe New
Google Services												
Google Search & other Revenue	59,890	59,890	62,476	62,476	64,159	64,159	71,601	71,601	258,126	258,126	289,175	289,175
FXHN Y/Y Growth	***14.0%***	***14.0%***	***14.0%***	***14.0%***	***13.5%***	***13.5%***	***13.0%***	***13.0%***	***13.6%***	***13.6%***	***12.0%***	***12.0%***
Y/Y Growth	*18.1%*	*18.1%*	*15.3%*	*15.3%*	*13.4%*	*13.4%*	*13.5%*	*13.5%*	*15.0%*	*15.0%*	*12.0%*	*12.0%*
Q/Q Growth	*-5.0%*	*-5.0%*	*4.3%*	*4.3%*	*2.7%*	*2.7%*	*11.6%*	*11.6%*				
% chg vs. old		*0.0%*		*0.0%*		*0.0%*		*0.0%*		*0.0%*		*0.0%*
YouTube ads Revenue	10,267	10,267	11,096	11,096	11,484	11,484	12,808	12,808	45,655	45,655	50,690	50,690
FXHN Y/Y Growth	***11.0%***	***11.0%***	***12.0%***	***12.0%***	***12.0%***	***12.0%***	***12.0%***	***12.0%***	***11.8%***	***11.8%***	***11.0%***	***11.0%***
Y/Y Growth	*15.0%*	*15.0%*	*13.3%*	*13.3%*	*11.9%*	*11.9%*	*12.5%*	*12.5%*	*13.1%*	*13.1%*	*11.0%*	*11.0%*
Q/Q Growth	*-9.8%*	*-9.8%*	*8.1%*	*8.1%*	*3.5%*	*3.5%*	*11.5%*	*11.5%*				
% chg vs. old		*0.0%*		*0.0%*		*0.0%*		*0.0%*		*0.0%*		*0.0%*
Google Network Revenue	7,368	7,368	7,288	7,288	7,202	7,202	7,707	7,707	29,565	29,565	28,981	28,981
Y/Y Growth	*1.5%*	*1.5%*	*-0.9%*	*-0.9%*	*-2.1%*	*-2.1%*	*-1.5%*	*-1.5%*	*-0.8%*	*-0.8%*	*-2.0%*	*-2.0%*
Q/Q Growth	*-5.9%*	*-5.9%*	*-1.1%*	*-1.1%*	*-1.2%*	*-1.2%*	*7.0%*	*7.0%*				
% chg vs. old		*0.0%*		*0.0%*		*0.0%*		*0.0%*		*0.0%*		*0.0%*
Google SPD Revenue	12,475	12,475	13,256	13,256	15,048	15,048	15,823	15,823	56,601	56,601	63,976	63,976
Y/Y Growth	*20.2%*	*20.2%*	*18.3%*	*18.3%*	*16.9%*	*16.9%*	*16.5%*	*16.5%*	*17.8%*	*17.8%*	*13.0%*	*13.0%*
Q/Q Growth	*-8.1%*	*-8.1%*	*6.3%*	*6.3%*	*13.5%*	*13.5%*	*5.2%*	*5.2%*				
% chg vs. old		*0.0%*		*0.0%*		*0.0%*		*0.0%*		*0.0%*		*0.0%*
Google Services Revenue	90,000	90,000	94,116	94,116	97,893	97,893	107,939	107,939	389,948	389,948	432,822	432,822
FXHN Y/Y Growth	***12.4%***	***12.4%***	***12.7%***	***12.7%***	***12.5%***	***12.5%***	***12.1%***	***12.1%***	***12.4%***	***12.4%***	***11.0%***	***11.0%***
Y/Y Growth	***16.5%***	*16.5%*	***14.0%***	*14.0%*	***12.5%***	*12.5%*	***12.6%***	*12.6%*	***13.8%***	*13.8%*	***11.0%***	*11.0%*
Q/Q Growth	*-6.1%*	*-6.1%*	*4.6%*	*4.6%*	*4.0%*	*4.0%*	*10.3%*	*10.3%*				
% chg vs. old		*0.0%*		*0.0%*		*0.0%*		*0.0%*		*0.0%*		*0.0%*
Total TAC as % of Ads Gross Revs	20.2%	20.2%	19.9%	19.9%	19.8%	19.8%	19.7%	19.7%	19.9%	19.9%	19.6%	19.6%
bps chg vs. old		0		0		0		0		0		0
Google Services GAAP OI	40,050	40,050	40,658	40,658	42,094	42,094	45,874	46,522	168,676	169,324	190,442	190,442
Margin as % of Gross Revenue	44.5%	44.5%	43.2%	43.2%	43.0%	43.0%	42.5%	43.1%	43.3%	43.4%	44.0%	44.0%
% chg vs. old		0.0%		0.0%		0.0%		1.4%		0.4%		0.0%
Google Services GAAP EPS	$2.84	$2.29	$2.84	$2.84	$2.92	$2.92	$3.16	$3.21	$11.76	$11.27	$13.03	$13.00
Y/Y Growth	*29.6%*	*4.6%*	*20.5%*	*20.5%*	*33.4%*	*33.4%*	*6.4%*	*8.1%*	*21.1%*	*16.1%*	*10.7%*	*15.3%*
% chg vs. old		-19.3%		0.0%		0.0%		1.7%		-4.2%		-0.2%
Google Cloud												
Google Cloud Revenue	19,690	19,690	22,045	22,045	23,932	23,932	26,086	26,086	91,752	91,752	128,486	128,486
FXHN Y/Y Growth	***55.0%***	***55.0%***	***60.0%***	***60.0%***	***58.0%***	***58.0%***	***47.0%***	***47.0%***	***54.5%***	***54.5%***	***40.0%***	***40.0%***
Y/Y Growth	*60.6%*	*60.6%*	*61.8%*	*61.8%*	*57.9%*	*57.9%*	*47.7%*	*47.7%*	*56.3%*	*56.3%*	*40.0%*	*40.0%*
Q/Q Growth	*11.5%*	*11.5%*	*12.0%*	*12.0%*	*8.6%*	*8.6%*	*9.0%*	*9.0%*				
% chg vs. old		*0.0%*		*0.0%*		*0.0%*		*0.0%*		*0.0%*		*0.0%*
Google Cloud GAAP OI	4,726	4,726	5,952	5,952	6,462	6,462	7,304	8,478	24,443	25,617	34,691	36,105
% Margin - Gross	24.0%	24.0%	27.0%	27.0%	27.0%	27.0%	28.0%	32.5%	26.6%	27.9%	27.0%	28.1%
% chg vs. old		0.0%		0.0%		0.0%		16.1%		4.8%		4.1%
Google Cloud GAAP EPS	$0.39	$0.39	$0.48	$0.48	$0.52	$0.52	$0.59	$0.69	$1.99	$2.08	$2.81	$2.92
Y/Y Growth	*117.7%*	*117.7%*	*109.2%*	*109.2%*	*78.2%*	*78.2%*	*36.3%*	*58.2%*	*74.8%*	*83.2%*	*41.6%*	*40.3%*
% chg vs. old		0.0%		0.0%		0.0%		16.1%		4.8%		3.8%
Other Bets												
Other Bets Revenue	470	470	514	514	505	505	545	545	2,035	2,035	3,080	3,080
% chg vs. old		0.0%		0.0%		0.0%		0.0%		0.0%		0.0%
Other Bets GAAP OI	($1,406)	($1,406)	($1,443)	($1,443)	($1,478)	($1,478)	($1,797)	($1,533)	($6,124)	($5,860)	($5,662)	($5,443)
$ chg vs. old		0		0		0		264		264		219
Other Bets GAAP EPS	($0.11)	$2.50	($0.12)	($0.12)	($0.12)	($0.12)	($0.15)	($0.12)	($0.50)	$2.13	($0.46)	($0.44)
% chg vs. old		NA		0.0%		0.0%		14.7%		NA		4.1%
Reconciling Items												
Hedging gains (losses)	(765)	(765)	(260)	(260)	17	17	(123)	(123)	(1,132)	(1,132)	(24)	(24)
$ chg vs. old		0		0		0		0		0		0
Corporate costs, unallocated	(5,172)	(5,172)	(4,752)	(4,752)	(4,754)	(4,754)	(4,968)	(7,054)	(19,645)	(21,731)	(21,922)	(24,293)
$ chg vs. old		0		0		0		(2,086)		(2,086)		(2,370)

Alphabet, Inc ($ in millions, except where noted)	1Q26 JPMe New	2Q26 JPMe New	3Q26 JPMe New	4Q26 JPMe New	2026 JPMe Old	2026 JPMe New	2027 JPMe Old	2027 JPMe New
Alphabet Inc.								
Alphabet Gross Revenue	109,394	116,415	122,346	134,447	482,603	482,603	564,365	564,365
FXHN Y/Y Growth	***18.2%***	***19.5%***	***19.4%***	***17.6%***	***18.6%***	***18.6%***	***16.6%***	***16.6%***
Y/Y Growth	*21.2%*	*20.7%*	*19.5%*	*18.1%*	*19.8%*	*19.8%*	*16.9%*	*16.9%*
Q/Q Growth	*-3.9%*	*6.4%*	*5.1%*	*9.9%*				
% chg vs. old	*0.0%*	*0.0%*	*0.0%*	*0.0%*		*0.0%*		*0.0%*
Alphabet Net Revenue	93,738	100,286	105,940	116,324	416,288	416,288	492,028	492,028
Y/Y Growth	*22.6%*	*22.7%*	*21.1%*	*19.6%*	*21.4%*	*21.4%*	*18.2%*	*18.2%*
Q/Q Growth	*-3.6%*	*7.0%*	*5.6%*	*9.8%*				
% chg vs. old	*0.0%*	*0.0%*	*0.0%*	*0.0%*		*0.0%*		*0.0%*
GAAP Operating Income	38,198	40,415	42,323	46,413	167,350	167,350	197,549	196,811
% Margin - Gross	34.9%	34.7%	34.6%	34.5%	34.7%	34.7%	35.0%	34.9%
% chg vs. old	0.0%	0.0%	0.0%	0.0%		0.0%		-0.4%
GAAP EPS	$2.69	$2.82	$2.94	$3.21	$11.66	$13.71	$13.60	$13.51
Y/Y Growth	*-4.4%*	*22.2%*	*2.5%*	*13.8%*	*7.8%*	*26.9%*	*16.7%*	*-1.5%*
% chg vs. old	76.8%	0.0%	0.0%	0.0%		17.6%		-0.7%
Capex	35,620	45,129	47,673	52,346	180,768	180,768	209,112	226,333
Y/Y Growth	*107.1%*	*101.1%*	*99.0%*	*87.9%*	*97.7%*	*97.7%*	*15.7%*	*25.2%*
% chg vs. old	0.0%	0.0%	0.0%	0.0%		0.0%		8.2%
FCF	17,977	(7,422)	11,920	6,308	28,782	28,776	44,492	27,493
Y/Y Growth	*-5.2%*	*-240.0%*	*-51.3%*	*-74.3%*	*-60.7%*	*-60.7%*	*54.6%*	*-4.5%*
% chg vs. old	0.0%	0.0%	0.0%	0.0%		0.0%		-38.2%

Source: J.P. Morgan estimates, Company data.

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Figure 8: Alphabet Income Statement

$ in millions, except per share amounts	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26E	6/26E	9/26E	12/26E	2026E	2027E
Gross Revenues	**350,018.0**	**90,234**	**96,428**	**102,346**	**113,828**	**402,836.0**	**109,394.5**	**116,415.2**	**122,346.1**	**134,447.2**	**482,603.0**	**564,364.8**
Traffic Acquisition Costs (TAC)	54,900.0	13,748	14,705	14,876	16,597	59,926.0	15,656.8	16,128.9	16,406.0	18,123.5	66,315.1	72,336.5
Net Revenues excluding TAC	**295,118.0**	**76,486**	**81,723**	**87,470**	**97,231**	**342,910.0**	**93,737.7**	**100,286.3**	**105,940.1**	**116,323.8**	**416,287.9**	**492,028.3**
Other cost of revenues	91,406.0	22,613	24,334	26,493	29,169	102,609.0	28,074.5	30,386.7	32,735.5	35,827.7	127,024.4	157,695.1
Gross profit	**203,712.0**	**53,873**	**57,389**	**60,977**	**68,062**	**240,301.0**	**65,663.3**	**69,899.5**	**73,204.6**	**80,496.0**	**289,263.5**	**334,333.2**
Operating expenses			R&D ex. Waymo comp charge		16,472							
Research & development	49,326.0	13,556	13,808	15,151	18,572	61,087.0	16,872.8	17,149.0	18,327.6	19,077.1	71,426.5	81,676.7
Sales & marketing	27,808.0	6,172	7,101	7,205	8,215	28,693.0	6,936.6	7,922.6	8,051.4	9,073.3	31,983.9	35,180.0
General & administrative	14,188.0	3,539	5,209	3,936	5,341	18,025.0	3,655.8	4,412.6	4,502.5	5,932.5	18,503.3	20,665.2
Other 1x item, incl. Impairment charge	0.0	0	0	3,457	0	3,457.0	0.0	0.0	0.0	0.0	0.0	
Total operating expenses	91,322.0	23,267	26,118	29,749	32,128	111,262.0	27,465.2	29,484.2	30,881.5	34,082.9	121,913.7	137,521.9
GAAP Operating income	**112,390.0**	**30,606**	**31,271**	**31,228**	**35,934**	**129,039.0**	**38,198.1**	**40,415.4**	**42,323.1**	**46,413.2**	**167,349.8**	**196,811.3**
Non-GAAP Operating income	**112,390.0**	**30,606**	**31,271**	**31,228**	**35,934**	**129,039.0**	**38,198.1**	**40,415.4**	**42,323.1**	**46,413.2**	**167,349.8**	**196,811.3**
JPMe Adjusted Operating income	**135,175.0**	**36,122**	**37,269**	**41,053**	**43,005**	**157,449.0**	**44,478.6**	**47,335.1**	**49,738.9**	**53,974.2**	**195,526.8**	**228,301.1**
Other income, expense and other, net	7,425.0	11,183	2,662	12,759	3,183	29,787.0	32,979.5	872.5	732.9	667.0	35,251.9	1,906.2
Income before taxes	119,815.0	41,789	33,933	43,987	39,117	158,826.0	71,177.7	41,287.9	43,056.0	47,080.1	202,601.6	198,717.5
Provision for income taxes	19,697.0	7,249	5,737	9,008	4,662	26,656.0	12,988.4	6,606.1	6,889.0	7,532.8	34,016.3	31,794.8
Effective tax rate	*16.4%*	*17.3%*	*16.9%*	*20.5%*	*11.9%*	*16.8%*	*18.2%*	*16.0%*	*16.0%*	*16.0%*	*16.8%*	*16.0%*
Discontinued Operations - Motorola												
GAAP Net Income (loss)	**100,118.0**	**34,540**	**28,196**	**34,979**	**34,455**	**132,170.0**	**58,189.2**	**34,681.8**	**36,167.0**	**39,547.3**	**168,585.4**	**166,922.7**
GAAP EPS - Diluted	**$8.04**	**$2.81**	**$2.31**	**$2.87**	**$2.82**	**$10.81**	**$4.75**	**$2.82**	**$2.94**	**$3.21**	**$13.71**	**$13.51**
Diluted shares outstanding	12,447.3	12,291	12,198	12,203	12,228	12,230.0	12,254.9	12,281.8	12,308.9	12,336.1	12,295.4	12,353.7
Alphabet Non-GAAP reconciliation												
Adj. for One-time item	0.0	0.0	0.0	3,457.0	0.0	3,457.0	0.0	0.0	0.0	0.0	0.0	0.0
Non-GAAP Net Income (loss)	**100,118.0**	**34,540.0**	**28,196.0**	**38,436.0**	**34,455.0**	**135,627.0**	**58,189.2**	**34,681.8**	**36,167.0**	**39,547.3**	**168,585.4**	**166,922.7**
Non-GAAP EPS - Diluted	**$8.04**	**$2.81**	**$2.31**	**$3.15**	**$2.82**	**$11.09**	**$4.75**	**$2.82**	**$2.94**	**$3.21**	**$13.71**	**$13.51**
Non-recurring items:												
Stock compensation expense	22,785.0	5,516.0	5,998.0	6,368.0	7,071.0	24,953.0	6,280.4	6,919.8	7,415.8	7,561.0	28,177.0	31,489.8
One-time items	(2,943.0)	(10,182.0)	(1,612.0)	(8,226.0)	(1,973.0)	(21,993.0)	(31,602.7)	397.3	397.3	397.3	(30,410.7)	1,545.7
Tax Effect	(3,208.3)	809.4	(741.5)	380.5	(607.6)	(159.2)	4,620.8	(1,170.7)	(1,250.1)	(1,273.3)	926.6	(5,285.7)
Adjusted Net Income (loss)	**116,751.7**	**30,683.4**	**31,840.5**	**33,501.5**	**38,945.4**	**134,970.8**	**37,487.8**	**40,828.2**	**42,730.0**	**46,232.3**	**167,278.3**	**194,672.5**
Adj. EPS - Diluted	**$9.38**	**$2.50**	**$2.61**	**$2.75**	**$3.18**	**$11.04**	**$3.06**	**$3.32**	**$3.47**	**$3.75**	**$13.60**	**$15.76**
Diluted shares outstanding	12,447.3	12,291.0	12,198.0	12,203.0	12,228.0	12,230.0	12,254.9	12,281.8	12,308.9	12,336.1	12,295.4	12,353.7
Adj. EBITDA Reconciliation												
Operating income (adj. for 1x item as noted)	112,390.0	30,606	31,271	34,685	35,934	132,496.0	38,198.1	40,415.4	42,323.1	46,413.2	167,349.8	196,811.3
Depreciation & amortization	15,311.0	4,487	4,998	5,611	6,040	21,136.0	7,030.3	8,223.5	9,746.5	11,632.4	36,632.7	54,615.1
Stock compensation expense	22,785.0	5,516	5,998	6,368	7,071	24,953.0	6,280.4	6,919.8	7,415.8	7,561.0	28,177.0	31,489.8
Adj. EBITDA	**150,486.0**	**40,609**	**42,267**	**46,664**	**49,045**	**178,585.0**	**51,508.9**	**55,558.6**	**59,485.4**	**65,606.6**	**232,159.5**	**282,916.2**
Year/Year Growth	**2024A**	**3/25A**	**6/25A**	**9/25A**	**12/25A**	**2025A**	**3/26E**	**6/26E**	**9/26E**	**12/26E**	**2026E**	**2027E**
Gross Revenues (FXHN)	***14.8%***	***13.8%***	***13.4%***	***14.7%***	***16.7%***	***14.7%***	***18.2%***	***19.5%***	***19.4%***	***17.6%***	***18.6%***	***16.6%***
Gross Revenues	***13.9%***	***12.0%***	***13.8%***	***15.9%***	***18.0%***	***15.1%***	***21.2%***	***20.7%***	***19.5%***	***18.1%***	***19.8%***	***16.9%***
Traffic Acquisition Costs (TAC)	*7.9%*	*6.2%*	*9.8%*	*8.4%*	*11.8%*	*9.2%*	*13.9%*	*9.7%*	*10.3%*	*9.2%*	*10.7%*	*9.1%*
Net Revenues	***15.1%***	***13.2%***	***14.5%***	***17.3%***	***19.1%***	***16.2%***	***22.6%***	***22.7%***	***21.1%***	***19.6%***	***21.4%***	***18.2%***
Other cost of revenues	*10.9%*	*8.9%*	*10.0%*	*16.4%*	*13.2%*	*12.3%*	*24.2%*	*24.9%*	*23.6%*	*22.8%*	*23.8%*	*24.1%*
Gross profit	***17.0%***	***15.0%***	***16.6%***	***17.7%***	***21.9%***	***18.0%***	***21.9%***	***21.8%***	***20.1%***	***18.3%***	***20.4%***	***15.6%***
Research & development	*8.6%*	*13.9%*	*16.4%*	*21.7%*	*41.6%*	*23.8%*	*24.5%*	*24.2%*	*21.0%*	*2.7%*	*16.9%*	*14.4%*
Sales & marketing	*-0.4%*	*-4.0%*	*4.5%*	*-0.3%*	*11.6%*	*3.2%*	*12.4%*	*11.6%*	*11.7%*	*10.4%*	*11.5%*	*10.0%*
General & administrative	*-13.6%*	*17.0%*	*64.9%*	*9.4%*	*21.2%*	*27.0%*	*3.3%*	*-15.3%*	*14.4%*	*11.1%*	*2.7%*	*11.7%*
Total operating expenses	***1.7%***	***9.0%***	***19.8%***	***27.8%***	***29.1%***	***21.8%***	***18.0%***	***12.9%***	***3.8%***	***6.1%***	***9.6%***	***12.8%***
GAAP Operating income	***33.3%***	***20.2%***	***14.0%***	***9.5%***	***16.0%***	***14.8%***	***24.8%***	***29.2%***	***35.5%***	***29.2%***	***29.7%***	***17.6%***
Non-GAAP Operating income	***33.3%***	***20.2%***	***14.0%***	***9.5%***	***16.0%***	***14.8%***	***24.8%***	***29.2%***	***35.5%***	***29.2%***	***29.7%***	***17.6%***
JPMe Adjusted Operating income	***26.6%***	***17.5%***	***12.0%***	***19.5%***	***16.9%***	***16.5%***	***23.1%***	***27.0%***	***21.2%***	***25.5%***	***24.2%***	***16.8%***
Depreciation & amortization	*28.2%*	*31.5%*	*34.8%*	*40.8%*	*43.6%*	*38.0%*	*56.7%*	*64.5%*	*73.7%*	*92.6%*	*73.3%*	*49.1%*
Stock compensation expense	*1.4%*	*4.8%*	*2.3%*	*8.9%*	*21.7%*	*9.5%*	*13.9%*	*15.4%*	*16.5%*	*6.9%*	*12.9%*	*11.8%*
EBITDA	*24.9%*	*18.9%*	*14.2%*	*21.7%*	*19.7%*	*18.7%*	*26.8%*	*31.4%*	*27.5%*	*33.8%*	*30.0%*	*21.9%*
GAAP Net Income (loss)	*35.7%*	*46.0%*	*19.4%*	*33.0%*	*29.8%*	*32.0%*	*68.5%*	*23.0%*	*3.4%*	*14.8%*	*27.6%*	*-1.0%*
GAAP EPS	***38.7%***	***48.8%***	***22.3%***	***35.3%***	***31.1%***	***34.4%***	***69.0%***	***22.2%***	***2.5%***	***13.8%***	***26.9%***	***-1.5%***
Non-GAAP Net Income (loss)	*35.7%*	*46.0%*	*19.4%*	*46.1%*	*29.8%*	*35.5%*	*68.5%*	*23.0%*	*-5.9%*	*14.8%*	*24.3%*	*-1.0%*
Non-GAAP EPS	*38.7%*	*48.8%*	*22.3%*	*48.7%*	*31.1%*	*37.9%*	*69.0%*	*22.2%*	*-6.7%*	*13.8%*	*23.6%*	*-1.5%*
JPMe Adjusted Net Income (loss)	*22.5%*	*15.5%*	*8.0%*	*13.4%*	*25.0%*	*15.6%*	*22.2%*	*28.2%*	*27.5%*	*18.7%*	*23.9%*	*16.4%*
JPMe Adjusted EPS	*25.2%*	*17.7%*	*10.7%*	*15.4%*	*26.2%*	*17.7%*	*22.5%*	*27.4%*	*26.4%*	*17.7%*	*23.3%*	*15.8%*
GAAP expenses as % of Net Revenues												
Other cost of revenues (non-TAC)	31.0%	29.6%	29.8%	30.3%	30.0%	29.9%	30.0%	30.3%	30.9%	30.8%	30.5%	32.1%
Research & development	16.7%	17.7%	16.9%	17.3%	19.1%	17.8%	18.0%	17.1%	17.3%	16.4%	17.2%	16.6%
Sales & marketing	9.4%	8.1%	8.7%	8.2%	8.4%	8.4%	7.4%	7.9%	7.6%	7.8%	7.7%	7.2%
General & administrative	4.8%	4.6%	6.4%	4.5%	5.5%	5.3%	3.9%	4.4%	4.3%	5.1%	4.4%	4.2%
Stock compensation expense	7.7%	7.2%	7.3%	7.3%	7.3%	7.3%	6.7%	6.9%	7.0%	6.5%	6.8%	6.4%
GAAP expenses as % of Gross Revenues												
Traffic Acquisition Costs (TAC)	15.7%	15.2%	15.2%	14.5%	14.6%	14.9%	14.3%	13.9%	13.4%	13.5%	13.7%	12.8%
Other cost of revenues (non-TAC)	26.1%	25.1%	25.2%	25.9%	25.6%	25.5%	25.7%	26.1%	26.8%	26.6%	26.3%	27.9%
Research & development	14.1%	15.0%	14.3%	14.8%	16.3%	15.2%	15.4%	14.7%	15.0%	14.2%	14.8%	14.5%
Sales & marketing	7.9%	6.8%	7.4%	7.0%	7.2%	7.1%	6.3%	6.8%	6.6%	6.7%	6.6%	6.2%
General & administrative	4.1%	3.9%	5.4%	3.8%	4.7%	4.5%	3.3%	3.8%	3.7%	4.4%	3.8%	3.7%
Stock compensation expense	6.5%	6.1%	6.2%	6.2%	6.2%	6.2%	5.7%	5.9%	6.1%	5.6%	5.8%	5.6%
Margin as % of Gross Revenues												
Gross margin	58.2%	59.7%	59.5%	59.6%	59.8%	59.7%	60.0%	60.0%	59.8%	59.9%	59.9%	59.2%
GAAP Operating margin	**32.1%**	**33.9%**	**32.4%**	**30.5%**	**31.6%**	**32.0%**	**34.9%**	**34.7%**	**34.6%**	**34.5%**	**34.7%**	**34.9%**
Non-GAAP Operating margin	**32.1%**	**33.9%**	**32.4%**	**30.5%**	**31.6%**	**32.0%**	**34.9%**	**34.7%**	**34.6%**	**34.5%**	**34.7%**	**34.9%**
JPMe Adjusted Operating margin	**38.6%**	**40.0%**	**38.6%**	**40.1%**	**37.8%**	**39.1%**	**40.7%**	**40.7%**	**40.7%**	**40.1%**	**40.5%**	**40.5%**
Net margin	28.6%	38.3%	29.2%	34.2%	30.3%	32.8%	53.2%	29.8%	29.6%	29.4%	34.9%	29.6%
Adj. EBITDA	**43.0%**	**45.0%**	**43.8%**	**45.6%**	**43.1%**	**44.3%**	**47.1%**	**47.7%**	**48.6%**	**48.8%**	**48.1%**	**50.1%**
Operating Leverage/Flow-through	**70.5%**	**66.6%**	**45.1%**	**59.0%**	**46.4%**	**53.2%**	**56.9%**	**66.5%**	**64.1%**	**80.3%**	**67.2%**	**62.1%**

Source: J.P. Morgan estimates, Company data.

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Figure 9: Alphabet Revenue Drivers

$ millions except where noted	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26E	6/26E	9/26E	12/26E	2026E	2027E
Gross Revenue Summary												
Google Search & other	198,084.0	50,702	54,190	56,567	63,073	224,532.0	59,889.6	62,475.7	64,159.2	71,601.5	258,126.0	289,175.0
Y/Y growth	*13.2%*	*9.8%*	*11.7%*	*14.5%*	*16.7%*	*13.4%*	*18.1%*	*15.3%*	*13.4%*	*13.5%*	*15.0%*	*12.0%*
FXHN Y/Y growth (estimate)	*14.1%*	*11.8%*	*11.1%*	*13.0%*	*15.4%*	*12.9%*	*14.0%*	*14.0%*	*13.5%*	*13.0%*	*13.6%*	*12.0%*
YouTube ads	36,147.0	8,927	9,796	10,261	11,383	40,367.0	10,267.2	11,095.7	11,484.4	12,807.8	45,655.0	50,690.0
Y/Y growth	*14.7%*	*10.3%*	*13.1%*	*15.0%*	*8.7%*	*11.7%*	*15.0%*	*13.3%*	*11.9%*	*12.5%*	*13.1%*	*11.0%*
FXHN Y/Y growth (estimate)	*15.7%*	*12.3%*	*12.4%*	*13.5%*	*7.4%*	*11.2%*	*11.0%*	*12.0%*	*12.0%*	*12.0%*	*11.8%*	*11.0%*
Google Properties	234,231.0	59,629	63,986	66,828	74,456	264,899.0	70,156.8	73,571.4	75,643.6	84,409.3	303,781.0	339,865.1
Y/Y growth	*13.4%*	*9.9%*	*11.9%*	*14.6%*	*15.4%*	*13.1%*	*17.7%*	*15.0%*	*13.2%*	*13.4%*	*14.7%*	*11.9%*
FXHN Y/Y growth (estimate)	*14.4%*	*11.9%*	*11.3%*	*13.1%*	*14.1%*	*12.6%*	*13.6%*	*13.7%*	*13.3%*	*12.8%*	*13.3%*	*11.8%*
Q/Q growth		*-7.6%*	*7.3%*	*4.4%*	*11.4%*		*-5.8%*	*4.9%*	*2.8%*	*11.6%*		
Google Network Members' properties	30,359.0	7,256	7,354	7,354	7,828	29,792.0	7,367.9	7,288.5	7,201.9	7,706.8	29,565.2	28,981.3
Y/Y growth	*-3.0%*	*-2.1%*	*-1.2%*	*-2.6%*	*-1.6%*	*-1.9%*	*1.5%*	*-0.9%*	*-2.1%*	*-1.5%*	*-0.8%*	*-2.0%*
FXHN Y/Y growth (estimate)	*-2.2%*	*-0.4%*	*-1.8%*	*-3.8%*	*-2.7%*	*-2.2%*	*-2.0%*	*-2.0%*	*-2.0%*	*-2.0%*	*-2.0%*	*-2.0%*
Q/Q growth		*-8.8%*	*1.4%*	*0.0%*	*6.4%*		*-5.9%*	*-1.1%*	*-1.2%*	*7.0%*		
Google advertising	264,590.0	66,885	71,340	74,182	82,284	294,691.0	77,524.7	80,859.8	82,845.5	92,116.1	333,346.2	368,846.4
Y/Y growth	*11.2%*	*8.5%*	*10.4%*	*12.6%*	*13.6%*	*11.4%*	*15.9%*	*13.3%*	*11.7%*	*11.9%*	*13.1%*	*10.6%*
FXHN Y/Y growth	*12.2%*	*10.4%*	*9.8%*	*11.2%*	*12.2%*	*10.9%*	*11.9%*	*12.1%*	*11.8%*	*11.4%*	*11.8%*	*10.6%*
Google subscriptions, platforms, and devices	40,340.0	10,379	11,203	12,870	13,578	48,030.0	12,474.8	13,255.8	15,047.5	15,823.2	56,601.4	63,975.9
Y/Y growth	*16.3%*	*18.8%*	*20.3%*	*20.8%*	*16.7%*	*19.1%*	*20.2%*	*18.3%*	*16.9%*	*16.5%*	*17.8%*	*13.0%*
FXHN Y/Y growth (estimate)	*17.3%*	*20.9%*	*19.6%*	*19.2%*	*15.4%*	*18.6%*	*16.0%*	*17.0%*	*17.0%*	*16.0%*	*16.5%*	*13.0%*
Q/Q growth		*-10.8%*	*7.9%*	*14.9%*	*5.5%*		*-8.1%*	*6.3%*	*13.5%*	*5.2%*		
Google Services total	304,930.0	77,264	82,543	87,052	95,862	342,721.0	89,999.6	94,115.7	97,893.1	107,939.3	389,947.6	432,822.3
Y/Y growth	*11.9%*	*9.8%*	*11.7%*	*13.8%*	*14.0%*	*12.4%*	*16.5%*	*14.0%*	*12.5%*	*12.6%*	*13.8%*	*11.0%*
FXHN Y/Y growth	*12.8%*	*11.7%*	*11.0%*	*12.3%*	*12.7%*	*12.0%*	*12.4%*	*12.7%*	*12.5%*	*12.1%*	*12.4%*	*11.0%*
Google Cloud	43,229.0	12,260	13,624	15,157	17,664	58,705.0	19,689.9	22,045.1	23,931.5	26,085.9	91,752.4	128,486.3
Y/Y growth	*30.6%*	*28.1%*	*31.7%*	*33.5%*	*47.8%*	*35.8%*	*60.6%*	*61.8%*	*57.9%*	*47.7%*	*56.3%*	*40.0%*
FXHN Y/Y growth (estimate)	*31.8%*	*30.4%*	*30.9%*	*31.8%*	*46.0%*	*35.2%*	*55.0%*	*60.0%*	*58.0%*	*47.0%*	*54.5%*	*40.0%*
Q/Q growth		*2.6%*	*11.1%*	*11.3%*	*16.5%*		*11.5%*	*12.0%*	*8.6%*	*9.0%*		
Other Bets	1,648.0	450	373	344	370	1,537.0	470.4	514.4	504.7	545.1	2,034.6	3,080.1
Y/Y growth	*7.9%*	*-9.1%*	*2.2%*	*-11.3%*	*-7.5%*	*-6.7%*	*4.5%*	*37.9%*	*46.7%*	*47.3%*	*32.4%*	*51.4%*
Hedging gains (losses)	211.0	260	(112)	(207)	(68)	(127.0)	(765.3)	(260.0)	16.8	(123.2)	(1,131.6)	(23.9)
Alphabet total revenues (gross)	350,018.0	90,234	96,428	102,346	113,828	402,836.0	109,394.5	116,415.2	122,346.1	134,447.2	482,603.0	564,364.8
Y/Y growth	***13.9%***	***12.0%***	***13.8%***	***15.9%***	***18.0%***	***15.1%***	***21.2%***	***20.7%***	***19.5%***	***18.1%***	***19.8%***	***16.9%***
FXHN Y/Y growth	***14.8%***	***13.8%***	***13.4%***	***14.7%***	***16.7%***	***14.7%***	***18.2%***	***19.5%***	***19.4%***	***17.6%***	***18.6%***	***16.6%***
Q/Q growth		*-6.5%*	*6.9%*	*6.1%*	*11.2%*		*-3.9%*	*6.4%*	*5.1%*	*9.9%*		
Seasonality		22.4%	23.9%	25.4%	28.3%		22.7%	24.1%	25.4%	27.9%		
Gross Revenue Share by Segment												
Google Search & other	56.6%	56.2%	56.2%	55.3%	55.4%	55.7%	54.7%	53.7%	52.4%	53.3%	53.5%	51.2%
YouTube ads	10.3%	9.9%	10.2%	10.0%	10.0%	10.0%	9.4%	9.5%	9.4%	9.5%	9.5%	9.0%
Google Network Members' properties	8.7%	8.0%	7.6%	7.2%	6.9%	7.4%	6.7%	6.3%	5.9%	5.7%	6.1%	5.1%
Google advertising	**75.6%**	**74.1%**	**74.0%**	**72.5%**	**72.3%**	**73.2%**	**70.9%**	**69.5%**	**67.7%**	**68.5%**	**69.1%**	**65.4%**
Google subscriptions, platforms, and devices	11.5%	11.5%	11.6%	12.6%	11.9%	11.9%	11.4%	11.4%	12.3%	11.8%	11.7%	11.3%
Google Services total	**87.1%**	**85.6%**	**85.6%**	**85.1%**	**84.2%**	**85.1%**	**82.3%**	**80.8%**	**80.0%**	**80.3%**	**80.8%**	**76.7%**
Google Cloud	**12.4%**	**13.6%**	**14.1%**	**14.8%**	**15.5%**	**14.6%**	**18.0%**	**18.9%**	**19.6%**	**19.4%**	**19.0%**	**22.8%**
Other Bets	0.5%	0.5%	0.4%	0.3%	0.3%	0.4%	0.4%	0.4%	0.4%	0.4%	0.4%	0.5%
Hedging gains (losses)	0.1%	0.3%	-0.1%	-0.2%	-0.1%	0.0%	-0.7%	-0.2%	0.0%	-0.1%	-0.2%	0.0%
TAC Analysis												
Total Traffic Acquisition Costs (TAC)	**54,900.0**	**13,748**	**14,705**	**14,876**	**16,597**	**59,926.0**	**15,656.8**	**16,128.9**	**16,406.0**	**18,123.5**	**66,315.1**	**72,336.5**
Y/Y growth	*7.9%*	*6.2%*	*9.8%*	*8.4%*	*11.8%*	*9.2%*	*13.9%*	*9.7%*	*10.3%*	*9.2%*	*10.7%*	*9.1%*
TAC as a % of Total Gross Adv. Revenues	**20.7%**	**20.6%**	**20.6%**	**20.1%**	**20.2%**	**20.3%**	**20.2%**	**19.9%**	**19.8%**	**19.7%**	**19.9%**	**19.6%**
TAC as a % of Total Ads Gross Revs ex. YT	**24.0%**	**23.7%**	**23.9%**	**23.3%**	**23.4%**	**23.6%**	**23.3%**	**23.1%**	**23.0%**	**22.9%**	**23.1%**	**22.7%**
Net Revenue Summary												
Google Properties - Net Revenues	200,159.4	50,756.2	54,394.4	56,815.6	63,197.5	225,163.6	59,436.5	62,325.7	64,062.9	71,449.4	257,274.5	286,946.0
Y/Y growth	*13.0%*	*9.6%*	*11.1%*	*14.2%*	*14.7%*	*12.5%*	*17.1%*	*14.6%*	*12.8%*	*13.1%*	*14.3%*	*11.5%*
Q/Q growth		*-7.9%*	*7.2%*	*4.5%*	*11.2%*		*-6.0%*	*4.9%*	*2.8%*	*11.5%*		
Google Network Members' Properties - Net Revenu	9,530.6	2,380.9	2,240.6	2,490.4	2,489.5	9,601.4	2,431.4	2,405.2	2,376.6	2,543.3	9,756.5	9,563.8
Y/Y growth	*-2.9%*	*-1.0%*	*-0.6%*	*5.0%*	*-0.3%*	*0.7%*	*2.1%*	*7.3%*	*-4.6%*	*2.2%*	*1.6%*	*-2.0%*
Google Advertising - Net Revenues	**209,690.0**	**53,137.0**	**56,635.0**	**59,306.0**	**65,687.0**	**234,765.0**	**61,868.0**	**64,730.9**	**66,439.5**	**73,992.7**	**267,031.1**	**296,509.9**
Y/Y growth	*12.2%*	*9.1%*	*10.6%*	*13.8%*	*14.0%*	*12.0%*	*16.4%*	*14.3%*	*12.0%*	*12.6%*	*13.7%*	*11.0%*
Non-Advertising - Net Revenues	**85,428.0**	**23,349.0**	**25,088.0**	**28,164.0**	**31,544.0**	**108,145.0**	**31,869.8**	**35,555.4**	**39,500.6**	**42,331.1**	**149,256.8**	**195,518.4**
Y/Y growth	*22.8%*	*23.7%*	*24.7%*	*25.7%*	*31.4%*	*26.6%*	*36.5%*	*41.7%*	*40.3%*	*34.2%*	*38.0%*	*31.0%*
Alphabet Net Revenues	**295,118.0**	**76,486.0**	**81,723.0**	**87,470.0**	**97,231.0**	**342,910.0**	**93,737.7**	**100,286.3**	**105,940.1**	**116,323.8**	**416,287.9**	**492,028.3**
Y/Y growth	*15.1%*	*13.2%*	*14.5%*	*17.3%*	*19.1%*	*16.2%*	*22.6%*	*22.7%*	*21.1%*	*19.6%*	*21.4%*	*18.2%*
Q/Q growth		*-6.3%*	*6.8%*	*7.0%*	*11.2%*		*-3.6%*	*7.0%*	*5.6%*	*9.8%*		
Seasonality		22.3%	23.8%	25.5%	28.4%		22.5%	24.1%	25.4%	27.9%		
Net Revenue Share by Segment												
Google Properties as % of Alphabet Net Revenues	67.8%	66.4%	66.6%	65.0%	65.0%	65.7%	63.4%	62.1%	60.5%	61.4%	61.8%	58.3%
Google Network Members' Properties as % of Alphab	3.2%	3.1%	2.7%	2.8%	2.6%	2.8%	2.6%	2.4%	2.2%	2.2%	2.3%	1.9%
Google Advertising as % of Alphebt Net Revenue	**71.1%**	**69.5%**	**69.3%**	**67.8%**	**67.6%**	**68.5%**	**66.0%**	**64.5%**	**62.7%**	**63.6%**	**64.1%**	**60.3%**
Google Other & Other Bets as % of Alphabet Net F	**28.9%**	**30.5%**	**30.7%**	**32.2%**	**32.4%**	**31.5%**	**34.0%**	**35.5%**	**37.3%**	**36.4%**	**35.9%**	**39.7%**

($ millions except where noted)	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26E	6/26E	9/26E	12/26E	2026E	2027E
MONETIZATION												
Google Search & Other												
Paid Clicks Change												
Y/Y growth	5%	2%	4%	7%	10%	6%						
QTD Y/Y growth		2%	3%	4%	6%							
Cost-per-Click Change												
Y/Y growth	7%	7%	8%	7%	6%	7%						
QTD Y/Y growth		7%	8%	7%	7%							

Source: J.P. Morgan estimates, Company data.

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Figure 10: Alphabet Revenue Drivers (Cont'd)

($ millions except where noted)	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26E	6/26E	9/26E	12/26E	2026E	2027E
Geographic Breakdown												
Alphabet total revenues (gross)	350,018.0	90,234	96,428	102,346	113,828	402,836.0	109,394.5	116,415.2	122,346.1	134,447.2	482,603.0	564,364.8
Y/Y growth	*13.9%*	*12%*	*14%*	*16%*	*18%*	*15.1%*	*21.2%*	*20.7%*	*19.5%*	*18.1%*	*19.8%*	*16.9%*
Y/Y growth (ex-FX & Hedging)	***14.8%***	***14%***	***13%***	***15%***	***17%***	***14.7%***	***18.2%***	***19.5%***	***19.4%***	***17.6%***	***18.6%***	***16.6%***
Q/Q growth		*-6%*	*7%*	*6%*	*11%*		*-3.9%*	*6.4%*	*5.1%*	*9.9%*		
Geographic Breakdown												
United States	170,447.0	43,964	46,063	48,758	55,444	194,229.0	51,437.9	53,985.8	57,144.4	64,037.8	226,605.9	261,050.0
Y/Y growth	***16.5%***	***13%***	***12%***	***13%***	***17%***	***14.0%***	***17.0%***	***17.2%***	***17.2%***	***15.5%***	***16.7%***	***15.2%***
Q/Q growth		*-7%*	*5%*	*6%*	*14%*		*-7.2%*	*5.0%*	*5.9%*	*12.1%*		
U.S. revenues as % of Gross Revenues	48.7%	49%	48%	48%	49%	48.2%	47.0%	46.4%	46.7%	47.6%	47.0%	46.3%
International	179,360.0	46,010	50,477	53,795	58,452	208,734.0	58,721.9	62,689.3	65,184.9	70,532.6	257,128.7	303,338.7
Y/Y growth	*11.5%*	*10%*	*16%*	*19%*	*19%*	*16.4%*	*27.6%*	*24.2%*	*21.2%*	*20.7%*	*23.2%*	*18.0%*
FXHN Y/Y growth	*13.3%*	*14%*	*15%*	*16%*	*16%*	*15.5%*	*19.3%*	*21.6%*	*21.3%*	*19.6%*	*20.5%*	*17.9%*
Q/Q growth		*-6%*	*10%*	*7%*	*9%*		*0.5%*	*6.8%*	*4.0%*	*8.2%*		
International revenues as % of Gross Revenues	51.2%	51%	52%	53%	51%	51.8%	53.7%	53.8%	53.3%	52.5%	53.3%	53.7%
Hedging Gains (Losses)	211.0	260.0	(112.0)	(207.0)	(68.0)	(127.0)	(765.3)	(260.0)	16.8	(123.2)	(1,131.6)	(23.9)
Internation Breakdown (excl. Hedge post-1Q17 change)												
EMEA	102,127.0	25,923	28,262	29,911	33,056	117,152.0	32,918.0	34,262.0	34,969.7	38,436.2	140,585.8	161,003.1
Y/Y growth	*12.2%*	*9%*	*14%*	*17%*	*17%*	*14.7%*	*27.0%*	*21.2%*	*16.9%*	*16.3%*	*20.0%*	*14.5%*
FXHN Y/Y growth	***12.1%***	***12%***	***11%***	***12%***	***12%***	***12.0%***	***14.5%***	***16.4%***	***15.8%***	***14.5%***	***15.3%***	***14.5%***
Q/Q growth		*-8%*	*9%*	*6%*	*11%*		*-0.4%*	*4.1%*	*2.1%*	*9.9%*		
EMEA as a % of Gross Revenues	29.2%	29%	29%	29%	29%	29.1%	30.1%	29.4%	28.6%	28.6%	29.1%	28.5%
APAC	56,815.0	14,854	16,480	17,819	18,527	67,680.0	18,910.2	20,974.6	22,453.9	23,419.8	85,758.5	103,854.9
Y/Y growth	*10.3%*	*12%*	*19%*	*22%*	*22%*	*19.1%*	*27.3%*	*27.3%*	*26.0%*	*26.4%*	*26.7%*	*21.1%*
FXHN Y/Y growth	***12.9%***	***15%***	***18%***	***22%***	***23%***	***19.7%***	***25.0%***	***28.0%***	***28.0%***	***26.0%***	***26.8%***	***21.0%***
Q/Q growth		*-2%*	*11%*	*8%*	*4%*		*2.1%*	*10.9%*	*7.1%*	*4.3%*		
APAC as a % of Gross Revenues	16.2%	16%	17%	17%	16%	16.8%	17.3%	18.0%	18.4%	17.4%	17.8%	18.4%
Other Americas (Canada and LatAM)	20,418.0	5,233	5,735	6,065	6,869	23,902.0	6,893.8	7,452.7	7,761.4	8,676.6	30,784.5	38,480.6
Y/Y growth	*11.5%*	*12%*	*16%*	*19%*	*20%*	*17.1%*	*31.7%*	*30.0%*	*28.0%*	*26.3%*	*28.8%*	*25.0%*
FXHN Y/Y growth	***20.2%***	***23%***	***23%***	***20%***	***19%***	***21.1%***	***27.0%***	***29.0%***	***29.0%***	***27.0%***	***28.0%***	***25.0%***
Q/Q growth		*-9%*	*10%*	*6%*	*13%*		*0.4%*	*8.1%*	*4.1%*	*11.8%*		
Other Americas as a % of Gross Revenues	5.8%	6%	6%	6%	6%	5.9%	6.3%	6.4%	6.3%	6.5%	6.4%	6.8%
Foreign Exchange Impact on Gross Revenue												
Total Gross Revenue	350,018.0	90,234	96,428	102,346	113,828	402,836.0	109,394.5	116,415.2	122,346.1	134,447.2	482,603.0	564,364.8
Y/Y growth	***13.9%***	***12%***	***14%***	***16%***	***18%***	***15.1%***	***21.2%***	***20.7%***	***19.5%***	***18.1%***	***19.8%***	***16.9%***
Q/Q growth		***-6%***	***7%***	***6%***	***11%***		***-3.9%***	***6.4%***	***5.1%***	***9.9%***		
Y/Y Foreign Exchange Impact	(2,939.0)	(1,605)	543	1,339	1,331	1,608.0	3,826.7	1,299.8	(84.2)	615.8	5,658.1	119.6
	-7%	-16%	-21%	-15%	-5%	-8%	-20%	-20%	-20%	-20%	-20%	-20%
Cash Flow Hedging Impact	211.0	260	(112)	(207)	(68)	(127.0)	(765.3)	(260.0)	16.8	(123.2)	(1,131.6)	(23.9)
FXHN Gross Revs. (based on year ago period)	352,746.0	91,579	95,997	101,214	112,565	401,355.0	106,333.1	115,375.4	122,413.5	133,954.6	478,076.6	564,245.2
Y/Y growth (ex-FX & Hedging)	***14.8%***	***14%***	***13%***	***15%***	***17%***	***14.7%***	***18.2%***	***19.5%***	***19.4%***	***17.6%***	***18.6%***	***16.6%***
BPS of Y/Y growth impacted by FX & Hedging	(97.6)	(177.2)	37.2	126.0	128.5	35.4	305.2	121.7	17.6	50.3	116.1	29.8
FX & Hedging Neutral Gross Revs. (based on last quarter)		90,995	94,919	101,635	114,153		108,963.4	116,316.1	122,346.1	134,447.2		
Q/Q growth (ex-FX & Hedging)		***-6%***	***5%***	***5%***	***12%***		***-4.3%***	***5.6%***	***4.9%***	***9.9%***		
BPS of Q/Q growth impacted by FX & Hedging		(80.8)	136.8	86.0	(31.8)		43.6	82.9	23.4	(1.5)		

$ millions except where noted	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26E	6/26E	9/26E	12/26E	2026E	2027E
Foreign Exchange Impact on EMEA Gross Revenue (excl. Hedging)												
Total Gross EMEA Revenue	102,127.0	25,923	28,262	29,911	33,056	117,152.0	32,918.0	34,262.0	34,969.7	38,436.2	140,585.8	161,003.1
Y/Y growth	***12.2%***	***9%***	***14%***	***17%***	***17%***	***14.7%***	***27.0%***	***21.2%***	***16.9%***	***16.3%***	***20.0%***	***14.5%***
Q/Q growth		***-8%***	***9%***	***6%***	***11%***		***-0.4%***	***4.1%***	***2.1%***	***9.9%***		
Y/Y Foreign Exchange Impact	38.0	(724)	780	1,261	1,438	2,755.0	3,236.1	1,365.0	332.7	587.0	5,520.9	32.4
FXHN Gross Revs. (based on year ago period)	102,089	26,647	27,482	28,650	31,618	114,397.0	29,681.8	32,897.0	34,636.9	37,849.1	135,064.9	160,970.8
Y/Y growth (excl. FX & Hedging)	***12.1%***	***12%***	***11%***	***12%***	***12%***	***12.0%***	***14.5%***	***16.4%***	***15.8%***	***14.5%***	***15.3%***	***14.5%***
BPS of Y/Y growth impacted by FX & Hedging	4.2	(304.4)	316.0	495.1	510.2	269.8	1,248.4	483.0	111.2	177.6	471.3	2.3
Y/Y growth in FX	*0.0%*	*-2.7%*	*2.8%*	*4.4%*	*4.5%*	*2.4%*	*10.9%*	*4.1%*	*1.0%*	*1.6%*	*4.1%*	*0.0%*
Foreign Exchange Impact on APAC Gross Revenue (excl. Hedging)												
Total Gross APAC Revenue	56,815.0	14,854	16,480	17,819	18,527	67,680.0	18,910.2	20,974.6	22,453.9	23,419.8	85,758.5	103,854.9
Y/Y growth	***10.3%***	***12%***	***19%***	***22%***	***22%***	***19.1%***	***27.3%***	***27.3%***	***26.0%***	***26.4%***	***26.7%***	***21.1%***
Q/Q growth		***-2%***	***11%***	***8%***	***4%***		***2.1%***	***10.9%***	***7.1%***	***4.3%***		
Y/Y Foreign Exchange Impact	(1,369.0)	(381)	115	128	(176)	(314.0)	342.7	(119.8)	(354.4)	75.8	(55.8)	87.2
FXHN Gross Revs. (based on year ago period)	58,184	15,235	16,365	17,691	18,703	67,994.0	18,567.5	21,094.4	22,808.3	23,344.0	85,814.2	103,767.7
Y/Y growth (excl. FX & Hedging)	***12.9%***	***15%***	***18%***	***22%***	***23%***	***19.7%***	***25.0%***	***28.0%***	***28.0%***	***26.0%***	***26.8%***	***21.0%***
BPS of Y/Y growth impacted by FX & Hedging	(265.8)	(286.7)	83.2	88.0	(116.1)	(55.3)	230.7	(72.7)	(198.9)	40.9	(8.2)	10.2
Y/Y growth in FX	*-2.4%*	*-2.5%*	*0.7%*	*0.7%*	*-0.9%*	*-0.5%*	*1.8%*	*-0.6%*	*-1.6%*	*0.3%*	*-0.1%*	*0.1%*
Foreign Exchange Impact on Other Americas Gross Revenue (excl. Hedging)												
Total Gross Other Americas Revenue	20,418.0	5,233.0	5,735.0	6,065.0	6,869.0	23,902.0	6,893.8	7,452.7	7,761.4	8,676.6	30,784.5	38,480.6
Y/Y growth	***11.5%***	***12%***	***16%***	***19%***	***20%***	***17.1%***	***31.7%***	***30.0%***	***28.0%***	***26.3%***	***28.8%***	***25.0%***
Q/Q growth		***-9%***	***10%***	***6%***	***13%***		***0.4%***	***8.1%***	***4.1%***	***11.8%***		
Y/Y Foreign Exchange Impact	(1,608.0)	(500.0)	(352.0)	(50.0)	69.0	(833.0)	247.9	54.5	(62.5)	(47.0)	192.9	-
FXHN Gross Revs. (based on year ago period)	22,026	5,733	6,087	6,115	6,800	24,735.0	6,645.9	7,398.2	7,823.9	8,723.6	30,591.5	38,480.6
Y/Y growth (excl. FX & Hedging)	***20.2%***	***23%***	***23%***	***20%***	***19%***	***21.1%***	***27.0%***	***29.0%***	***29.0%***	***27.0%***	***28.0%***	***25.0%***
BPS of Y/Y growth impacted by FX & Hedging	(877.7)	(1,074.6)	(712.8)	(98.2)	120.3	(408.0)	473.8	95.1	(103.0)	(68.5)	80.7	-
Y/Y growth in FX	*-7.3%*	*-8.7%*	*-5.8%*		*1.0%*	*-3.4%*	*3.7%*	*0.7%*	*-0.8%*	*-0.5%*	*0.6%*	*0.0%*
Headcount												
Ending Full-time Headcount (ex-Motorola)	183,323	185,719	187,103	190,167	190,820	190,820	192,520	194,520	197,520	198,520	198,520	205,468
Y/Y growth	*0.4%*	*2.7%*	*4.2%*	*4.9%*	*4.1%*	*4.1%*	*3.7%*	*4.0%*	*3.9%*	*4.0%*	*4.0%*	*3.5%*
Q/Q growth		*1.3%*	*0.7%*	*1.6%*	*0.3%*		*0.9%*	*1.0%*	*1.5%*	*0.5%*		
Absolute Sequential Change in Headcount	821	2,396	1,384	3,064	653	7,497	1,700	2,000	3,000	1,000	7,700	6,948

Source: J.P. Morgan estimates, Company data.

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Figure 11: Alphabet Segment Reporting

$ in millions, except per share amounts	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26E	6/26E	9/26E	12/26E	2026E	2027E
ALPHABET SEGMENT SUMMARY												
Revenues:												
Google Services	304,930	77,264	82,543	87,052	95,862	342,721	90,000	94,116	97,893	107,939	389,948	432,822
Google Cloud	43,229	12,260	13,624	15,157	17,664	58,705	19,690	22,045	23,932	26,086	91,752	128,486
Other Bets	1,648	450	373	344	370	1,537	470	514	505	545	2,035	3,080
Hedging gains (losses)	211	260	(112)	(207)	(68)	(127)	(765)	(260)	17	(123)	(1,132)	(24)
Total Revenues	**350,018**	**90,234**	**96,428**	**102,346**	**113,828**	**402,836**	**109,394**	**116,415**	**122,346**	**134,447**	**482,603**	**564,365**
Total Revenues ex-hedge	349,807	89,974	96,540	102,553	113,896	402,963	110,160	116,675	122,329	134,570	483,735	564,389
GAAP Operating Income (Loss):												
Google Services	121,263	32,682	33,063	33,527	40,132	139,404	40,050	40,658	42,094	46,522	169,324	190,442
Google Cloud	6,112	2,177	2,826	3,594	5,313	13,910	4,726	5,952	6,462	8,478	25,617	36,105
Other Bets	(4,444)	(1,226)	(1,246)	(1,426)	(3,617)	(7,515)	(1,406)	(1,443)	(1,478)	(1,533)	(5,860)	(5,443)
Corporate costs, unallocated	(10,541)	(3,027)	(3,372)	(4,467)	(5,894)	(16,760)	(5,172)	(4,752)	(4,754)	(7,054)	(21,731)	(24,293)
Total Income from Operations	**112,390**	**30,606**	**31,271**	**31,228**	**35,934**	**129,039**	**38,198**	**40,415**	**42,323**	**46,413**	**167,350**	**196,811**
Margins:												
Google Services	39.8%	42.3%	40.1%	38.5%	41.9%	40.7%	44.5%	43.2%	43.0%	43.1%	43.4%	44.0%
Google Cloud	14.1%	17.8%	20.7%	23.7%	30.1%	23.7%	24.0%	27.0%	27.0%	32.5%	27.9%	28.1%
Other Bets	-269.7%	-272.4%	-334.0%	-414.5%	-977.6%	-488.9%	-298.8%	-280.5%	-292.9%	-281.2%	-288.0%	-176.7%
Corporate costs, unallocated (% of total revenues)	-3.0%	-3.4%	-3.5%	-4.4%	-5.2%	-4.2%	-4.7%	-4.1%	-3.9%	-5.2%	-4.5%	-4.3%
Total Income from Operations	**32.1%**	**33.9%**	**32.4%**	**30.5%**	**31.6%**	**32.0%**	**34.9%**	**34.7%**	**34.6%**	**34.5%**	**34.7%**	**34.9%**
SEGMENT ANALYSIS												
GOOGLE SERVICES												
Revenue	304,930	77,264	82,543	87,052	95,862	342,721	90,000	94,116	97,893	107,939	389,948	432,822
TAC	54,900	13,748	14,705	14,876	16,597	59,926	15,657	16,129	16,406	18,123	66,315	72,336
Net Revenue	250,030	63,516	67,838	72,176	79,265	282,795	74,343	77,987	81,487	89,816	323,632	360,486
GAAP Costs & Opex	128,767	30,834	34,775	38,649	39,133	143,391	34,293	37,329	39,393	43,294	154,309	170,044
GAAP Operating Income	121,263	32,682	33,063	33,527	40,132	139,404	40,050	40,658	42,094	46,522	169,324	190,442
OI&E	3,493	1,465	1,459	2,199	881	6,004	980	872	733	667	3,252	1,906
Income before taxes	124,756	34,147	34,522	35,726	41,013	145,408	41,029	41,530	42,827	47,189	172,576	192,348
Income Tax	19,697	7,249	5,737	9,008	4,662	26,656	12,988	6,606	6,889	7,533	34,016	31,795
GAAP Net Income	105,059	26,898	28,785	26,718	36,351	118,752	28,041	34,924	35,938	39,656	138,559	160,553
GAAP EPS	$8.44	$2.19	$2.36	$2.19	$2.97	$9.71	$2.29	$2.84	$2.92	$3.21	$11.27	$13.00
D&A	10,490					13,709					22,617	30,298
SBC	16,161					17,205					19,107	21,208
Adj. EBITDA	147,914					170,317					211,048	241,948
Costs & Expenses As % of Revenue												
TAC	18.0%	17.8%	17.8%	17.1%	17.3%	17.5%	17.4%	17.1%	16.8%	16.8%	17.0%	16.7%
GAAP Costs & Opex	42.2%	39.9%	42.1%	44.4%	40.8%	41.8%	38.1%	39.7%	40.2%	40.1%	39.6%	39.3%
D&A	3.4%					4.0%					5.8%	7.0%
SBC	5.3%					5.0%					4.9%	4.9%
Margins			excl. EC fine	42.5%		41.7%						
GAAP Operating Income	**39.8%**	**42.3%**	**40.1%**	**38.5%**	**41.9%**	**40.7%**	**44.5%**	**43.2%**	**43.0%**	**43.1%**	**43.4%**	**44.0%**
GOOGLE CLOUD							13%	10%	6%	-4%	5%	12%
Revenue	43,229	12,260	13,624	15,157	17,664	58,705	19,690	22,045	23,932	26,086	91,752	128,486
GAAP Costs & Opex	37,117	10,083	10,798	11,563	12,351	44,795	14,964	16,093	17,470	17,608	66,135	92,382
GAAP Operating Income	6,112	2,177	2,826	3,594	5,313	13,910	4,726	5,952	6,462	8,478	25,617	36,105
OI&E	0	0	0	0	0	0	0	0	0	0	0	0
Income before taxes	6,112	2,177	2,826	3,594	5,313	13,910	4,726	5,952	6,462	8,478	25,617	36,105
Income Tax	0	0	0	0	0	0	0	0	0	0	0	0
GAAP Net Income	6,112	2,177	2,826	3,594	5,313	13,910	4,726	5,952	6,462	8,478	25,617	36,105
GAAP EPS	$0.49	$0.18	$0.23	$0.29	$0.43	$1.14	$0.39	$0.48	$0.52	$0.69	$2.08	$2.92
D&A	4,409					6,927					13,396	23,577
SBC	5,879					6,927					8,230	9,431
Adj. EBITDA	16,401					27,764					47,243	69,113
Costs & Expenses As % of Revenue												
GAAP Costs & Opex	85.9%	82.2%	79.3%	76.3%	69.9%	76.3%	76.0%	73.0%	73.0%	67.5%	72.1%	71.9%
D&A	10%					12%					15%	18%
SBC	14%					12%					9%	7%
Margins												
GAAP Operating Income	**14.1%**	**17.8%**	**20.7%**	**23.7%**	**30.1%**	**23.7%**	**24.0%**	**27.0%**	**27.0%**	**32.5%**	**27.9%**	**28.1%**
OTHER BETS												
Revenue	1,648	450	373	344	370	1,537	470	514	505	545	2,035	3,080
GAAP Costs & Opex	6,092	1,676	1,619	1,770	3,987	9,052	1,876	1,957	1,983	2,078	7,894	8,523
Non-GAAP Costs & Opex	4,935					7,731					6,435	6,932
GAAP Operating Income	**(4,444)**	**(1,226)**	**(1,246)**	**(1,426)**	**(3,617)**	**(7,515)**	**(1,406)**	**(1,443)**	**(1,478)**	**(1,533)**	**(5,860)**	**(5,443)**
OI&E	3,932	9,718	1,203	10,560	2,302	23,783	32,000	0	0	0	32,000	0
Income before taxes	(512)	8,492	(43)	9,134	(1,315)	16,268	30,594	(1,443)	(1,478)	(1,533)	26,140	(5,443)
Income Tax	0	0	0	0	0	0	0	0	0	0	0	0
GAAP Net Income	(512)	8,492	(43)	9,134	(1,315)	16,268	30,594	(1,443)	(1,478)	(1,533)	26,140	(5,443)
GAAP EPS	($0.04)	$0.69	($0.00)	$0.75	($0.11)	$1.33	$2.50	($0.12)	($0.12)	($0.12)	$2.13	($0.44)
D&A	412					500					620	740
SBC	745					821					839	851
Adj. EBITDA	(3,287)					(6,194)					(4,401)	(3,852)
Costs & Expenses As % of Revenue												
GAAP Costs & Opex	370%	372%	434%	515%	1078%	589%	399%	380%	393%	381%	388%	277%
Margins												
GAAP Operating Income	-269.7%	-272.4%	-334.0%	-414.5%	-977.6%	-488.9%	-298.8%	-280.5%	-292.9%	-281.2%	-288.0%	-176.7%
RECONCILING ITEMS												
Hedging gains (losses)	211	260	(112)	(207)	(68)	(127)	(765)	(260)	17	(123)	(1,132)	(24)
Corporate costs, unallocated	**8,965**	**3,287**	**3,260**	**3,653**	**5,826**	**16,026**	**4,406**	**4,492**	**4,771**	**6,930**	**20,600**	**24,269**
One-time items	1,787	0	0	607	0	607	0	0	0	0	0	0
GAAP Operating Income	(10,541)	(3,027)	(3,372)	(4,467)	(5,894)	(16,760)	(5,172)	(4,752)	(4,754)	(7,054)	(21,731)	(24,293)
OI&E	0	0	0	0	0	0	0	0	0	0	0	0
Income before taxes	(10,541)	(3,027)	(3,372)	(4,467)	(5,894)	(16,760)	(5,172)	(4,752)	(4,754)	(7,054)	(21,731)	(24,293)
Income Tax	0	0	0	0	0	0	0	0	0	0	0	0
GAAP Net Income	(10,541)	(3,027)	(3,372)	(4,467)	(5,894)	(16,760)	(5,172)	(4,752)	(4,754)	(7,054)	(21,731)	(24,293)
GAAP EPS	($0.85)	($0.25)	($0.28)	($0.37)	($0.48)	($1.37)	($0.42)	($0.39)	($0.39)	($0.57)	($1.77)	($1.97)

Source: J.P. Morgan estimates, Company data.

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Investment Thesis, Valuation and Risks

Alphabet *(Overweight; Price Target: $395.00)*

Investment Thesis
We believe Alphabet's fundamentals are solid and the company will remain both a driver of and primary beneficiary of an increasingly digital economy & advances in Generative AI. Google remains focused on innovation, and we continue to believe there is a healthy runway across Search and YouTube ads as AI drives higher ROI & TV dollars shift online. Non-Ad businesses, incl. Cloud & Subscriptions, have significant headroom, and companies within Other Bets, notably Waymo, provide option value. We remain confident in the company's ability to innovate around Generative AI, control costs, & generate solid top-line growth.

Valuation
Our December 2026 PT of $395 is based on ~29x our '27E GAAP EPS of $13.51, which ex-cash equates to ~28x our '27E GAAP EPS ex-Other Bets of $13.95. We believe Alphabet shares should trade at a premium to the S&P 500 as Alphabet is one of the few companies in the S&P 500 with DD % revenue and EPS growth off of a very large base and a strong 32%+ GAAP Operating Income margin.

Risks to Rating and Price Target
Downside risks include: 1) Competition ramping across AI, Ads, Cloud, and for engineering/tech talent; **2)** potential for a return to heavy investment spending and margin compression; **3)** regulatory scrutiny resulting in meaningful change to operations or limiting innovation; and **4)** growth slowing more than anticipated with the next major revenue drivers, including Cloud, Hardware, and Waymo, not materializing as expected.

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Investment Thesis, Valuation and Risks

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Alphabet: Summary of Financials

Income Statement - Annual	FY25A	FY26E	FY27E	FY28E
Revenue	**402,836**	**482,603**	**564,365**	**-**
COGS	(162,535)	(193,340)	(230,032)	-
Gross profit	**240,301**	**289,263**	**334,333**	**-**
SG&A	(46,718)	(50,487)	(55,845)	-
Adj. EBITDA	**178,585**	**232,159**	**282,916**	**-**
D&A	(21,136)	(36,633)	(54,615)	-
Adj. EBIT	**157,449**	**195,527**	**228,301**	**-**
Net Interest	-	-	-	-
Adj. PBT	**187,236**	**230,779**	**230,207**	**-**
Tax	(26,656)	(34,016)	(31,795)	-
Minority Interest	-	-	-	-
Adj. Net Income	**134,971**	**167,278**	**194,673**	**-**
Reported EPS	10.81	13.71	13.51	-
Adj. EPS	**11.04**	**13.60**	**15.76**	**-**
DPS	**0.82**	**0.84**	**0.84**	**-**
Payout ratio	7.6%	6.1%	6.2%	-
Shares outstanding	12,230	12,295	12,354	-

Income Statement - Quarterly	1Q26E	2Q26E	3Q26E	4Q26E
Revenue	**109,394**	**116,415**	**122,346**	**134,447**
COGS	(43,731)	(46,516)	(49,142)	(53,951)
Gross profit	**65,663**	**69,900**	**73,205**	**80,496**
SG&A	(10,592)	(12,335)	(12,554)	(15,006)
Adj. EBITDA	**51,509**	**55,559**	**59,485**	**65,607**
D&A	(7,030)	(8,223)	(9,746)	(11,632)
Adj. EBIT	**44,479**	**47,335**	**49,739**	**53,974**
Net Interest	-	-	-	-
Adj. PBT	**77,458**	**48,208**	**50,472**	**54,641**
Tax	(12,988)	(6,606)	(6,889)	(7,533)
Minority Interest	-	-	-	-
Adj. Net Income	**37,488**	**40,828**	**42,730**	**46,232**
Reported EPS	4.75	2.82	2.94	3.21
Adj. EPS	**3.06**	**3.32**	**3.47**	**3.75**
DPS	**0.21**	**0.21**	**0.21**	**0.21**
Payout ratio	4.4%	7.4%	7.1%	6.6%
Shares outstanding	12,255	12,282	12,309	12,336

Balance Sheet & Cash Flow Statement	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	30,708	28,492	24,949	-
Accounts receivable	62,886	75,235	88,923	-
Inventories	0	0	0	-
Other current assets	112,444	85,647	64,196	-
Current assets	**206,038**	**189,373**	**178,069**	**-**
PP&E	246,597	390,732	562,450	-
LT investments	-	-	-	-
Other non current assets	142,646	145,836	149,372	-
Total assets	**595,281**	**725,941**	**889,891**	**-**
Short term borrowings	0	0	0	-
Payables	12,200	14,596	17,251	-
Other short term liabilities	90,545	108,325	128,034	-
Current liabilities	**102,745**	**122,921**	**145,285**	**-**
Long-term debt	46,547	46,547	43,547	-
Other long term liabilities	30,724	30,724	29,932	-
Total liabilities	**180,016**	**200,192**	**218,764**	**-**
Shareholders' equity	415,265	525,749	671,127	-
Minority interests	-	-	-	-
Total liabilities & equity	**595,281**	**725,941**	**889,891**	**-**
BVPS	**33.95**	**42.76**	**54.33**	**-**
y/y Growth	*30.0%*	*25.9%*	*27.0%*	-
Net debt/(cash)	15,839	18,055	18,598	-
Cash flow from operating activities	**164,713**	**209,544**	**253,826**	**-**
o/w Depreciation & amortization	21,136	36,633	54,615	-
o/w Changes in working capital	618	1,434	798	-
Cash flow from investing activities	**(120,291)**	**(150,768)**	**(201,333)**	**-**
o/w Capital expenditure	(91,447)	(180,768)	(226,333)	-
as % of sales	*22.7%*	*37.5%*	*40.1%*	-
Cash flow from financing activities	**(37,388)**	**(60,992)**	**(56,035)**	**-**
o/w Dividends paid	-	(10,328)	(10,377)	-
o/w Net debt issued/(repaid)	32,138	0	(3,000)	-
Net change in cash	**7,242**	**(2,216)**	**(3,543)**	**-**
Adj. Free cash flow to firm	**73,266**	**28,776**	**27,493**	**-**
y/y Growth	*0.7%*	*(60.7%)*	*(4.5%)*	-

Ratio Analysis	FY25A	FY26E	FY27E	FY28E
Gross margin	59.7%	59.9%	59.2%	-
EBITDA margin	44.3%	48.1%	50.1%	-
EBIT margin	39.1%	40.5%	40.5%	-
Net profit margin	33.5%	34.7%	34.5%	-
ROE	36.5%	35.6%	32.5%	-
ROA	25.8%	25.3%	24.1%	-
ROCE	33.9%	32.2%	30.6%	-
SG&A/Sales	11.6%	10.5%	9.9%	-
Net debt/equity	0.0	0.0	0.0	-
P/E (x)	29.3	23.7	20.5	-
P/BV (x)	9.5	7.6	5.9	-
EV/EBITDA (x)	22.2	17.1	14.0	-
Dividend Yield	0.3%	0.3%	0.3%	-
Sales/Assets (x)	0.8	0.7	0.7	-
Interest cover (x)	-	-	-	-
Operating leverage	109.2%	122.1%	98.9%	-
Revenue y/y Growth	15.1%	19.8%	16.9%	-
EBITDA y/y Growth	18.7%	30.0%	21.9%	-
Tax rate	14.2%	14.7%	13.8%	-
Adj. Net Income y/y Growth	15.6%	23.9%	16.4%	-
EPS y/y Growth	17.7%	23.3%	15.8%	-
DPS y/y Growth	38.9%	2.2%	0.0%	-

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Alphabet Inc.: Summary of Financials

Income Statement - Annual	FY25A	FY26E	FY27E	FY28E
Revenue	**402,836**	**482,603**	**564,365**	**-**
COGS	(162,535)	(193,340)	(230,032)	-
Gross profit	**240,301**	**289,263**	**334,333**	**-**
SG&A	(46,718)	(50,487)	(55,845)	-
Adj. EBITDA	**178,585**	**232,159**	**282,916**	**-**
D&A	(21,136)	(36,633)	(54,615)	-
Adj. EBIT	**157,449**	**195,527**	**228,301**	**-**
Net Interest	-	-	-	-
Adj. PBT	**187,236**	**230,779**	**230,207**	**-**
Tax	(26,656)	(34,016)	(31,795)	-
Minority Interest	-	-	-	-
Adj. Net Income	**134,971**	**167,278**	**194,673**	**-**
Reported EPS	10.81	13.71	13.51	-
Adj. EPS	**11.04**	**13.60**	**15.76**	**-**
DPS	**0.82**	**0.84**	**0.84**	**-**
Payout ratio	7.6%	6.1%	6.2%	-
Shares outstanding	12,230	12,295	12,354	-

Income Statement - Quarterly	1Q26E	2Q26E	3Q26E	4Q26E
Revenue	**109,394**	**116,415**	**122,346**	**134,447**
COGS	(43,731)	(46,516)	(49,142)	(53,951)
Gross profit	**65,663**	**69,900**	**73,205**	**80,496**
SG&A	(10,592)	(12,335)	(12,554)	(15,006)
Adj. EBITDA	**51,509**	**55,559**	**59,485**	**65,607**
D&A	(7,030)	(8,223)	(9,746)	(11,632)
Adj. EBIT	**44,479**	**47,335**	**49,739**	**53,974**
Net Interest	-	-	-	-
Adj. PBT	**77,458**	**48,208**	**50,472**	**54,641**
Tax	(12,988)	(6,606)	(6,889)	(7,533)
Minority Interest	-	-	-	-
Adj. Net Income	**37,488**	**40,828**	**42,730**	**46,232**
Reported EPS	4.75	2.82	2.94	3.21
Adj. EPS	**3.06**	**3.32**	**3.47**	**3.75**
DPS	**0.21**	**0.21**	**0.21**	**0.21**
Payout ratio	4.4%	7.4%	7.1%	6.6%
Shares outstanding	12,255	12,282	12,309	12,336

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Short term borrowings	0	0	0	-
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Minority interests	-	-	-	-
Total liabilities & equity	**595,281**	**725,941**	**889,891**	**-**
BVPS	**33.95**	**42.76**	**54.33**	**-**
y/y Growth	*30.0%*	*25.9%*	*27.0%*	-
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Net change in cash	**7,242**	**(2,216)**	**(3,543)**	**-**
Adj. Free cash flow to firm	**73,266**	**28,776**	**27,493**	**-**
y/y Growth	*0.7%*	*(60.7%)*	*(4.5%)*	-

Ratio Analysis	FY25A	FY26E	FY27E	FY28E
Gross margin	59.7%	59.9%	59.2%	-
EBITDA margin	44.3%	48.1%	50.1%	-
EBIT margin	39.1%	40.5%	40.5%	-
Net profit margin	33.5%	34.7%	34.5%	-
ROE	36.5%	35.6%	32.5%	-
ROA	25.8%	25.3%	24.1%	-
ROCE	33.9%	32.2%	30.6%	-
SG&A/Sales	11.6%	10.5%	9.9%	-
Net debt/equity	0.0	0.0	0.0	-
P/E (x)	29.3	23.7	20.5	-
P/BV (x)	9.5	7.6	5.9	-
EV/EBITDA (x)	22.2	17.1	14.0	-
Dividend Yield	0.3%	0.3%	0.3%	-
Sales/Assets (x)	0.8	0.7	0.7	-
Interest cover (x)	-	-	-	-
Operating leverage	109.2%	122.1%	98.9%	-
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EBITDA y/y Growth	18.7%	30.0%	21.9%	-
Tax rate	14.2%	14.7%	13.8%	-
Adj. Net Income y/y Growth	15.6%	23.9%	16.4%	-
EPS y/y Growth	17.7%	23.3%	15.8%	-
DPS y/y Growth	38.9%	2.2%	0.0%	-

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Alphabet (GOOG, GOOG US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 28, 2004. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
26-Apr-23	OW	104.61	121
26-Jul-23	OW	122.79	150
13-Dec-23	OW	133.64	160
31-Jan-24	OW	153.05	165
26-Apr-24	OW	157.95	200
24-Jul-24	OW	183.60	208
30-Oct-24	OW	171.14	212
18-Dec-24	OW	197.12	232
05-Feb-25	OW	207.71	220
08-Apr-25	OW	149.24	180
25-Apr-25	OW	161.47	195
11-Jul-25	OW	178.70	200
24-Jul-25	OW	191.51	232
03-Sep-25	OW	211.99	260
27-Oct-25	OW	260.51	300
30-Oct-25	OW	275.17	340
12-Dec-25	OW	313.70	385
05-Feb-26	OW	333.34	395

Alphabet Inc. (GOOGL, GOOGL US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 17, 2015. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
26-Apr-23	OW	103.85	121
26-Jul-23	OW	122.21	150
13-Dec-23	OW	132.52	160
31-Jan-24	OW	151.46	165
26-Apr-24	OW	156.00	200
24-Jul-24	OW	181.79	208
30-Oct-24	OW	169.68	212
18-Dec-24	OW	195.42	232
05-Feb-25	OW	206.38	220
08-Apr-25	OW	146.75	180
25-Apr-25	OW	159.28	195
11-Jul-25	OW	177.62	200
24-Jul-25	OW	190.23	232
03-Sep-25	OW	211.35	260
27-Oct-25	OW	259.92	300
30-Oct-25	OW	274.57	340
12-Dec-25	OW	312.43	385
05-Feb-26	OW	333.04	395

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IB clients**	47%	47%	35%
JPMS Equity Research Coverage*	49%	38%	13%
IB clients**	72%	70%	53%

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